

LEGAL TAX

1. Income Tax Act, 1961 – Concept of Income

Meaning of Income

Income refers to **any monetary or non-monetary return** received by a person from **investments, property, employment, business, profession, or any other source** during a financial year. It represents an economic benefit that increases the earning capacity of an individual or entity.

Section 2(24) – Definition of Income

Section 2(24) of the Income Tax Act, 1961 defines the term “**income**” in an **inclusive manner**. This means that the definition **includes certain items specifically mentioned but is not limited to them**. Hence, any receipt that has the nature of income can be taxed even if it is not expressly stated, unless it is exempted under the Act.

Income includes:

- **Profits and gains from business or profession**, whether carried on regularly or occasionally.
- **Dividend income** received from companies.
- **Voluntary contributions** received by **charitable or religious trusts**, unless specifically exempt.
- **Value of perquisites or profits in lieu of salary**, such as rent-free accommodation, bonuses, or allowances.
- **Capital gains** arising from the transfer of capital assets like land, buildings, shares, or securities.
- **Winnings from lotteries, crossword puzzles, races (including horse races), card games, gambling, betting, or any similar activities**, which are taxable at special rates.
- **Any sum received under a life insurance policy**, except those exempts under **Section 10(10D)**.
- **Deemed incomes**, such as gifts received without consideration or for inadequate consideration beyond prescribed limits.

Purpose and Significance of Section 2(24)

The objective of Section 2(24) is to **bring a wide range of receipts within the scope of taxation** and prevent tax evasion by adopting a broad and flexible definition. It ensures that **all real incomes are taxed**, unless they are **specifically exempted** under provisions like **Section 10** of the Act.

2. Steps to determine Taxable Income

Step I: Determine the Nature of Receipt

The first step in calculating income tax is to identify **whether a receipt is taxable or not**. Every receipt must be classified into one of the following categories:

a) Income Receipt

Income receipts are those that **arise from regular, recurring, or core activities** of an individual or organization. These receipts are generally **taxable**, unless specifically exempt under the Act.

Examples:

- Salary and wages
- Business or professional income
- Rent from property
- Interest, dividend, or commission income

b) Capital Receipt

Capital receipts are those that **do not arise from regular income-generating activities** and usually affect the **capital structure** of a person.

Examples:

- Amount received from the sale of capital assets
- Loans received
- Capital introduced by the owner
- Gifts received (subject to conditions)

Capital receipts are **generally not taxable**, unless the Act specifically provides otherwise (e.g., capital gains or taxable gifts).

Taxability of Gifts

Gifts are treated as **capital receipts**, but they become **taxable under the Income Tax Act** if certain conditions are met.

Gifts are taxable if:

- The **aggregate value of gifts exceeds ₹50,000** in a financial year.
- Such gifts are received **without consideration or for inadequate consideration**, and do not fall under exempt categories.

Exemptions from Tax on Gifts

The following gifts are **fully exempt from tax**, irrespective of their value:

- **Gifts received from relatives**, as defined under the Income Tax Act.
- **Gifts received by an individual on the occasion of his or her wedding.**
- **Gifts received from local authorities.**
- **Gifts received from approved charitable or religious trusts.**
- **Gifts received from educational institutions or specified institutions.**

Step II: Identify Taxable Capital Receipts

After classifying receipts as **income receipts** or **capital receipts**, the next step is to determine **which capital receipts are taxable under the Income Tax Act, 1961.**

General Rule

Capital receipts are **not taxable by default**. However, they become **taxable only when the Income Tax Act specifically provides for their taxation.**

Capital Receipts that are Taxable

The following capital receipts are **liable to tax**:

1. Capital Gains

- Any profit or gain arising from the transfer of a capital asset such as land, building, shares, debentures, or mutual fund units is taxable under the head “Capital Gains.”

2. Taxable Gifts

- Gifts received exceeding ₹50,000 in a financial year from non-relatives are taxable under “Income from Other Sources,” unless exempted.

3. Compensation or Enhanced Compensation

- Compensation received on compulsory acquisition of capital assets may be taxable, depending on the nature of the asset and applicable exemptions.

4. Amount Received on Issue of Shares at a Premium

- In certain cases, share premium received in excess of fair market value is taxable under specific anti-abuse provisions.

5. Forfeiture of Advance Money

- Advance money forfeited during a transaction relating to the transfer of a capital asset may be taxable as capital receipt under prescribed provisions.

6. Deemed Capital Receipts

- Certain receipts are treated as income by law even though they are capital in nature (e.g., deemed gifts or deemed profits).

Step III. Income Receipts which are Tax Exempted

• Agricultural Income (Sec. 10(1))

Income from agricultural activities in India is fully exempt.

• Share of Profit from Partnership Firm (Sec. 10(2A))

Partner's share of profit from a taxed firm is exempt.

• Income of Local Authorities (Sec. 10(20))

Income of municipalities and panchayats is exempt.

• Charitable / Religious Trust Income (Sec. 11)

Income used for approved charitable or religious purposes is exempt.

• Scholarships (Sec. 10(16))

Scholarships received for education are fully exempt.

• Gratuity (Sec. 10(10))

Gratuity is exempt up to prescribed limits.

• Leave Travel Allowance – LTA (Sec. 10(5))

Travel expenses for journeys within India are exempt.

• House Rent Allowance – HRA (Sec. 10(13A))

Part of HRA is exempt as per rules.

• Provident Fund Receipts

PF withdrawals and interest are exempt subject to conditions.

Step IV: Allocate Income under the Five Heads of Income

Under the Income Tax Act, 1961, taxable income is classified under **five heads** as per **Section 14**.

1. Income from Salary

(Sections 15 to 17)

Includes all income received by an employee from an employer, such as:

- Basic salary
- Allowances
- Bonuses
- Perquisites

2. Income from House Property

(Sections 22 to 27)

Income earned from owning a house property:

- Calculate **Net Annual Value (NAV)**
(Gross Rent – Municipal Taxes)
- Deduct:
 - **30% standard deduction** (Section 24(a))
 - **Interest on home loan**, if applicable (Section 24(b))

3. Profits and Gains of Business or Profession

(Sections 28 to 44DB)

Includes income from:

- Business activities
- Professional services

Computed after deducting **allowable business or professional expenses**.

4. Income from Capital Gains

(Sections 45 to 55A)

Includes gains arising from the **transfer of capital assets**, classified as:

- Short-term capital gains
- Long-term capital gains

5. Income from Other Sources

(Sections 56 to 59)

Includes income not covered under other heads, such as:

- Interest income
- Dividend income
- Taxable gifts (Section 56(2)(x))
- Any other casual or residual income

Step V: Compute Net Taxable Income

1. Find Net Income under Each Head

First, calculate the **net income separately under each of the five heads of income**, after allowing deductions specific to that head.

The five heads are:

1. Income from Salary
2. Income from House Property
3. Profits and Gains of Business or Profession
4. Capital Gains
5. Income from Other Sources

At this stage, **only head-wise deductions** are allowed (not Chapter VI-A).

2. Compute Gross Total Income (GTI)

Gross Total Income (GTI) is the **sum of net incomes under all five heads**.

$$\text{GTI} = \text{Salary Income} + \text{House Property Income} + \text{Business/Profession Income} + \text{Capital Gains} + \text{Other Sources}$$

3. Deduct Deductions under Chapter VI-A

From the GTI, subtract **deductions under Chapter VI-A (Sections 80C to 80U)**.

Common deductions mentioned in your notes:

- **Section 80C**
Deduction for specified investments/payments like PPF, ELSS, LIC, etc. (Max ₹1,50,000).
- **Section 80D**
Deduction for medical insurance premiums paid for self/family/parents.
- **Section 80E**
Deduction for interest paid on education loans.
- **Section 80G**
Deduction for donations made to approved charitable institutions.
- **Section 80TTA / 80TTB**
Deduction for interest on savings bank accounts
(80TTB specially for senior citizens).

Available Deductions / Exemptions in the New Tax Regime (Short Points)

- **Standard Deduction**
Flat deduction of ₹50,000 from salary income (from FY 2023-24).
- **Employer's Contribution to NPS – Sec. 80CCD(2)**
Deduction allowed for employer's NPS contribution (up to 10% of salary).
- **Agricultural Income – Sec. 10(1)**
Agricultural income continues to be fully exempt.
- **Exemptions for Retirees**
Gratuity, leave encashment, and VRS compensation remain exempt as per limits.

4. Compute Total Income

After deducting Chapter VI-A deductions from GTI:

Total Income = GTI – Deductions under Chapter VI-A

This **Total Income** is the amount on which **tax rates are applied**.

Step VI: Determine the Applicable Tax Rates for the Financial Year

After computing the **Total Income**, the next step is to identify **which tax rates apply for the relevant Financial Year (FY)**. This depends on **which tax regime is chosen** by the assessee.

Tax Regimes under the Income Tax Act

For the Financial Year **2023–24**, an individual can choose between **two tax regimes**:

A. Old Tax Regime

- Allows **exemptions and deductions** such as:
 - Section 80C, 80D, 80CCD
 - House Rent Allowance (HRA)
 - Standard Deduction (₹50,000 for salary)
- Tax rates are **higher**, but taxable income is reduced due to deductions.

Income Tax Slabs – Old Regime (FY 2023–24):

Income Range	Tax Rate
Up to ₹2,50,000	Nil
₹2,50,001 – ₹5,00,000	5%
₹5,00,001 – ₹10,00,000	20%
Above ₹10,00,000	30%

B. New Tax Regime (Section 115BAC)

- Offers **lower tax rates**
- **Most exemptions and deductions are not allowed**
- Default regime unless the assessee opts for the old regime

Income Tax Slabs – New Regime (FY 2023–24):

Income Range	Tax Rate
Up to ₹3,00,000	Nil
₹3,00,001 – ₹6,00,000	5%
₹6,00,001 – ₹9,00,000	10%
₹9,00,001 – ₹12,00,000	15%
₹12,00,001 – ₹15,00,000	20%
Above ₹15,00,000	30%

Ways of Paying Income Tax

A taxpayer can pay income tax in the following three ways:

I. Advance Tax

Meaning

Advance tax refers to the **payment of income tax in advance during the financial year itself**, instead of paying the entire tax amount at the end of the year. It is based on the **estimated income** of the taxpayer.

Who is Required to Pay Advance Tax

- Any individual or business whose **total tax liability exceeds ₹10,000** in a financial year (after considering TDS and other credits) is required to pay advance tax.

Due Dates and Installments for Advance Tax

Advance tax is paid in installments as follows:

- 15th June** – At least **15%** of estimated tax
- 15th September** – At least **45%** of estimated tax
- 15th December** – At least **75%** of estimated tax
- 15th March** – **100%** of estimated tax

II. Tax Deducted at Source (TDS)

Meaning

Tax Deducted at Source (TDS) is the tax **deducted by the payer (deductor)** at the time of making certain payments to the recipient. The deducted tax is then **deposited with the government** on behalf of the taxpayer.

Common Payments Subject to TDS

- Salary
- Interest
- Rent
- Professional or technical fees
- Commission and brokerage

TDS ensures **regular collection of tax** and reduces tax evasion.

III. Self-Assessment Tax

Meaning

Self-assessment tax is the **balance tax payable by the taxpayer after adjusting advance tax and TDS**. It is paid **before filing the income tax return**.

When It Is Paid

- If, after calculating total tax liability, **any amount remains unpaid**, it must be paid as self-assessment tax before filing the return.

3. Concealed Income (Section 115BBE)

- **Section 68:** Unexplained cash credits found in books (e.g., loans/deposits with no proof).
- **Section 69:** Unexplained investments not recorded (e.g., property, shares).
- **Section 69A:** Unexplained assets owned (e.g., cash, bullion, jewellery).
- **Section 69B:** Excess investment over declared amount or fair market value.
- **Section 69C:** Unexplained expenditure with no identifiable source.
- **Tax Rate:** Such income is taxed at a **flat 60%** (plus surcharge & cess, as applicable).

4. Surcharge and Health & Education Cess

Surcharge

- **Meaning:**

An **additional tax** charged on **high-income individuals, firms, and companies** when income exceeds a specified limit.

- **Applicability:**

Levied on the **calculated income tax** (not on total income).

Surcharge Rates (Individuals):

Total Income	Surcharge Rate
Up to ₹50 lakh	Nil
₹50 lakh – ₹1 crore	10%
₹1 crore – ₹2 crore	15%
₹2 crore – ₹5 crore	25%
Above ₹5 crore	37%

Health & Education Cess

- **Rate:** 4%
- **Charged on:**
Total tax liability, i.e., Income Tax + Surcharge
- **Purpose:**
Funding **healthcare and education** initiatives.

5. Types of Residential Status under Section 6 (Income Tax Act)

Residential status determines **scope of taxable income in India**.

It is decided **every previous year** based on **stay in India, not citizenship**.

A. Resident

A person is treated as a **Resident** if **any one** of the following basic conditions is satisfied:

Basic Conditions

1. Stayed in India for **182 days or more** during the **previous year, OR**
2. Stayed in India for:
 - **60 days or more** during the previous year **AND**
 - **365 days or more** during the **preceding 4 years**

Example (Resident)

- Previous Year: **1 April 2023 – 31 March 2024**
- Stay in previous year: **200 days**
- Stay in last 4 years: **400 days**

✅ Since stay is more than **182 days**, the person is a **Resident**.

Taxability (Resident)

- Resident is **further classified** into:
 - **Resident & Ordinarily Resident (ROR)**
 - **Resident but Not Ordinarily Resident (RNOR)**

B. Non-Resident (NR)

Meaning

- A person who **does not satisfy any of the basic conditions** of residence.

Example (NR)

- Previous Year stay: **50 days**
- Stay in last 4 years: **200 days**

❌ Does not satisfy 182-day rule

❌ Does not satisfy 60 + 365 rule

→ **Non-Resident**

Taxability (NR)

- ✅ Income **earned or received in India** → Taxable
- ❌ Foreign income → Not taxable

C. Resident but Not Ordinarily Resident (RNOR)

Meaning

A person is RNOR if:

- He is a **Resident**, but

- Does **not satisfy the additional conditions** of an Ordinarily Resident.

Conditions for RNOR

A Resident is RNOR if **any one** of the following is satisfied:

1. **Non-Resident in 9 out of 10 preceding previous years, OR**
2. Stayed in India for **729 days or less** during the **preceding 7 years**

Example (RNOR)

- Stay in previous year: **300 days** (Resident)
- Stay in last 7 years: **600 days**
- Resident in last 10 years: **only 1 year**

→ Classified as **RNOR**

Taxability (RNOR)

-  Income received or accrued in India → Taxable
-  Income from business controlled from India → Taxable
-  Other foreign income → Not taxable

D. Resident and Ordinarily Resident (ROR)

Meaning

A person who is:

- A **Resident**, and
- Has a **long-term presence in India**

Additional Conditions for ROR

Both must be satisfied:

1. Resident in **at least 2 out of 10** preceding previous years, **AND**
2. Stayed in India for **730 days or more** during the **preceding 7 years**

Taxability (ROR)

-  Indian income → Taxable
-  Foreign income → Taxable
-  **Global income fully taxable**

👉 **Citizenship does not matter**

Bank Accounts for NR / RNOR / ROR

1. NRO Account (Non-Resident Ordinary Account)

- Used to manage **Indian income** (rent, pension, dividends).
-  **Repatriation restricted**
-  Interest is **fully taxable**
-  TDS applicable

2. NRE Account (Non-Resident External Account)

- Opened using **foreign income**
- Fully **repatriable**
- ☒ Interest is **fully exempt** under Section 10(4)
- Account maintained in **INR**

3. FCNR Account (Foreign Currency Non-Resident Account)

- Maintained in **foreign currency**
- No exchange risk
- ☒ Interest **fully exempt**
- Exchange rate fluctuation **does not affect balance**
- Interest earned in **foreign currency**

Advantage of FCNR

- Foreign country interest rate applies
- No conversion loss
- Currency risk eliminated

4. RFC Account (Resident Foreign Currency Account)

- Opened when an NR returns to India
- Funds maintained in **foreign currency**
- Interest:
 - ☒ Exempt for **2 years** (till RNOR status)
 - ☒ Taxable once person becomes **ROR**

6. Section 64 – Clubbing of Income

1. Meaning of Clubbing of Income

Clubbing of income means **including the income of another person in the income of the assessee**, when such income is transferred or arranged in a way to **avoid tax**.

Purpose:

To **prevent tax evasion** by transferring income to relatives or close family members who fall in a lower tax bracket.

2. Why Section 64 Exists (Objective)

- Stops **tax avoidance**
- Prevents **artificial transfer of income**
- Ensures income is taxed in the **hands of the real earner**
- Promotes **equity and fairness** in taxation

3. When Does Clubbing Apply?

Clubbing applies **only in specific cases mentioned under Section 64.**

If a case is **not specifically covered**, clubbing **cannot be done.**

4. Provisions of Section 64

A. Income of Spouse – Section 64(1)(ii)

Rule

If an individual's **spouse receives salary, commission, fees, or remuneration** from a concern in which the individual has **substantial interest**, such income is **clubbed with the individual's income.**

Exception

✓ Clubbing **does NOT apply** if the spouse is **qualified and employed due to technical or professional skills.**

Example

- Mr. A owns **30% shares** in XYZ Pvt Ltd.
- His wife receives **₹3,00,000 salary** without professional qualification.
- 👉 **₹3,00,000 is clubbed with Mr. A's income**

B. Income from Assets Transferred to Spouse – Section 64(1)(iv)

Rule

If an asset is transferred to a spouse **without adequate consideration**, income from that asset is **clubbed** with the transferor's income.

Includes

- Cash
- Property
- Shares
- Fixed deposits

Exception

✓ Transfer made **under an agreement to live apart**

Example

- Mr. A gifts **₹5,00,000** to his wife.
- Wife earns **₹50,000 interest.**
- 👉 **₹50,000 is clubbed with Mr. A's income**

C. Income from Asset Transferred to Son's Wife – Section 64(1)(vi)

Rule

If an asset is transferred **to son's wife without consideration**, income from such asset is **clubbed.**

Example

- Mr. A gifts shares to his daughter-in-law.
- Dividend earned = ₹40,000
- 👉 **₹40,000 clubbed with Mr. A's income**

D. Income from Asset Transferred to Minor Child – Section 64(1A)

Rule

Income of a **minor child** is clubbed with the income of the **parent having higher income**.

Includes

- Interest
- Rent
- Business income
- Capital gains

Exceptions (NOT Clubbed)

✗ Income from:

1. Manual work
2. Skill, talent, or specialized knowledge
3. Child suffering from disability (Section 80U)

Exemption

✓ ₹1,500 per child per year allowed to the parent

Example

- Minor earns interest = ₹20,000
- Exemption = ₹1,500
- 👉 ₹18,500 is clubbed

E. Income from Revocable Transfer – Section 64(1)(v)

Rule

If income arises from an asset transferred under a **revocable transfer**, income is **clubbed with the transferor**.

Revocable Transfer Means

- Transferor can **reclaim asset or income**
- Transfer can be **cancelled**

Example

- Mr. A transfers property but retains right to take it back.
- Rental income = ₹1,00,000
- 👉 ₹1,00,000 clubbed with Mr. A

F. Cross Transfer of Assets

Meaning

Mutual transfer of assets between spouses to avoid clubbing.

Rule

Such transfers are **ignored**, and income is still **clubbed**.

Example

- Husband gifts money to wife
- Wife gifts money to husband
- 👉 Clubbing still applies

7. Section 80G – Deduction for Donations

1. What is Section 80G?

Section 80G allows a **tax deduction for donations** made to **approved charitable institutions and relief funds**.

The deduction **reduces taxable income**, not tax directly.

2. Types of Donations under Section 80G

A. 100% Deduction (Without Limit)

Donations to certain national funds are **fully deductible** and **NOT subject to the 10% limit**.

Examples:

- PM National Relief Fund
- National Defence Fund
- PM CARES Fund



Entire donation is allowed as deduction

B. 50% Deduction (Without Limit)

Only **50% of donation** is allowed, but **no 10% ceiling applies**.

C. 100% or 50% Deduction (With 10% Limit)

Some donations are allowed **only up to 10% of Adjusted Total Income**.



This is where the 10% restriction applies

3. Meaning of “10% of Total Income” (Very Important)

It means **10% of Adjusted Total Income**, which is:

Adjusted Total Income =

Total Income

(–) Deductions under Sections 80C to 80U (except 80G)

(–) Long-term capital gains

(–) Short-term capital gains under section 111A

(–) Incomes taxed at special rates

4. Example

Given:

- Total Income = ₹10,00,000
- Maximum limit under 80G = **10% of ₹10,00,000 = ₹1,00,000**

Case 1: Donation of ₹1,00,000

✓ Deduction allowed = ₹1,00,000 (within limit)

Case 2: Donation of ₹2,00,000



Deduction allowed = **₹1,00,000 only**



Even if you donate more, deduction cannot exceed ₹1 lakh



Your statement is correct

8. Section 15 – Chargeability of Salary

- Section 15 taxes **all income arising from employer–employee relationship** under the head **“Income from Salaries.”**
- Salary is taxable on **due or receipt basis, whichever is earlier.**
- It includes **basic salary, allowances, bonus, commission, perquisites, advance salary, and arrears.**
- **Advance salary** is taxable in the year of receipt.
- **Arrears of salary** are taxable in the year of receipt (relief available under Section 89).
- Salary is taxable **only if employer–employee relationship exists.**

Conclusion:

Section 15 ensures that all employment-related income is taxed as salary at the earliest point of time.

9. Section 16 – Deductions from Salary

Section 16 allows **deductions from Gross Salary** to arrive at **Taxable Salary.**

I. Standard Deduction – Section 16(1)

- Flat deduction of **₹50,000**
- Available to **all salaried employees and pensioners**
- Allowed **before any other deductions**

Example:

Salary ₹7,00,000 → Taxable salary ₹6,50,000

II. Entertainment Allowance – Section 16(2)

- Allowed **only to Government employees**
- Deduction = **least of:**
 - Actual allowance received
 - ₹5,000
 - 20% of basic salary

III. Professional Tax – Section 16(3)

- Deduction allowed for **tax actually paid** during the year
- Levied by **State Governments**
- Maximum generally **₹2,500 per year**

10. Perquisites – Section 17(2)

1. Meaning of Perquisites

A **perquisite** is any **benefit or amenity provided by an employer to an employee, in addition to salary or wages**, either **free of cost or at a concessional rate.**

👉 Perquisites are treated as **part of salary income** and are **taxable**, unless specifically exempted.

2. Why Perquisites are Taxed

- They increase the **real income** of the employee
- Prevents tax avoidance through **non-cash benefits**

- Ensures **uniform taxation** of all employment benefits

3. Types of Perquisites (With Sections & Examples)

A. Rent-Free Accommodation (RFA) / Concessional Accommodation

Relevant Section: Section 17(2)(i)

- House provided by employer **without rent or at lower rent**
- Taxable value depends on:
 - Type of employer (Govt / Non-Govt)
 - City population
 - Salary level

Example:

Employer provides a flat to employee in Mumbai without rent

→ **Value of accommodation is added to salary as perquisite**

✗ HRA is NOT a perquisite (it is an allowance under Section 17(1))

B. Free or Concessional Loans

Relevant Section: Section 17(2)(vii)

- Loans given at **nil or lower interest rate**
- Taxable perquisite =
Interest at SBI rate – Interest actually charged

Exemptions:

- Loan ≤ ₹20,000
- Medical loan for specified diseases (Section 80DDB)

Example:

Loan of ₹5,00,000 at 2% interest

SBI rate = 9%

→ Difference (7%) is taxable as perquisite

C. Motor Car / Vehicle Provided by Employer

Relevant Section: Section 17(2)(iii)

Taxability depends on:

- Purpose (official / personal / both)
- Who bears expenses
- Engine capacity

Example:

Car provided for **personal use**, expenses paid by employer

→ Fixed perquisite value added to salary

✓ If used **only for official purpose** and records maintained → **Not taxable**

D. ESOPs / Sweat Equity Shares

Relevant Section: Section 17(2)(vi)

- ESOPs are taxable **at the time of exercise**
- Taxable value =

Fair Market Value – Exercise Price

Example:

FMV = ₹200

Exercise price = ₹100

Perquisite = ₹100 per share (taxable)

👉 Later sale of shares → **Capital Gains tax applies separately**

E. Medical Facilities / Benefits

Relevant Section: Section 17(2)

Taxable:

- Medical reimbursement exceeding exemption limits
- Treatment in unapproved hospitals

Exempt:

- Treatment in government or approved hospitals
- Employer-paid health insurance premium

Example:

Employer reimburses ₹60,000 medical bills

Allowed exemption = ₹50,000

→ ₹10,000 taxable as perquisite

F. Other Common Perquisites

- Free meals exceeding prescribed limit
- Club membership fees
- Free domestic servants (driver, watchman)
- Gift vouchers above ₹5,000 per year

11. SECTION 10 – ALLOWANCES (INCOME TAX ACT, 1961)

Section 10 provides exemptions for certain allowances received by an employee, subject to specified **conditions, limits, and actual usage**.

I. Leave Travel Allowance (LTA) – Section 10(5)

Meaning

Leave Travel Allowance (LTA) is given by an employer to cover **travel expenses** incurred by the employee and their family while on leave.

Exemption Criteria

- LTA is **exempt only for domestic travel (within India)**.
- Exemption applies only to **actual travel expenses incurred**.

Conditions

- Exemption available for **two journeys in a block of four years**.
- Only **transportation costs** (air, rail, bus) are exempt.

- Expenses on **hotel stay, food, sightseeing** are **not exempt**.
- Travel must be **within India**.
- Exemption applies to employee and **family members**.
- If not claimed in one block, it can be **carried forward to the next block** (one journey only).

Example

If LTA received = ₹50,000

Actual travel expense = ₹40,000

→ **Exempt** = ₹40,000

→ **Taxable** = ₹10,000

II. House Rent Allowance (HRA) – Section 10(13A)

Meaning

HRA is paid by an employer to meet the **cost of rented accommodation**.

Exemption Amount

The exemption is the **least of the following three**:

1. **Actual HRA received**
2. **Rent paid – 10% of salary** (Basic + DA)
3. **50% of salary** (metro cities) or **40% of salary** (non-metro)

Conditions

- Employee must be **living in a rented house**.
- **Rent must be paid** to the landlord.
- Exemption is **calculated monthly** but **claimed annually**.

Example

- HRA received = ₹40,000
- Rent paid = ₹30,000
- Salary = ₹60,000

Calculations:

- Rent – 10% salary = ₹30,000 – ₹6,000 = ₹24,000
- 50% of salary = ₹30,000

→ **Exemption = ₹24,000 (least amount)**

III. Conveyance Allowance – Section 10(14)

Meaning

Conveyance allowance is given to meet **commuting costs between home and office**.

Exemption Criteria

- Exempt only if used for **official purposes**.
- No exemption for **personal commuting** unless reimbursed on actual basis.

Conditions

- **Actual expenditure basis**.
- If a **company car** is provided and used for personal purposes, the **personal use value is taxable**.

Example

Allowance received = ₹10,000

Actual commuting expense = ₹8,000

→ **Exempt** = ₹8,000

→ **Taxable** = ₹2,000

IV. Traveling Allowance – Section 10(14)

Meaning

Traveling allowance is provided for **official or work-related travel**.

Exemption Criteria

- Exempt only for **official travel expenses**.
- No exemption for **personal or leisure travel**.

Conditions

- Exemption limited to **actual expenses incurred**.
- Bills and proof may be required.

Example

Allowance received = ₹20,000

Official travel expense = ₹15,000

→ **Exempt** = ₹15,000

→ **Taxable** = ₹5,000

V. Work-From-Home (WFH) Allowance

Legal Position

- No specific exemption under Section 10 for WFH allowance.

Tax Treatment

- Generally **taxable** unless:
 - Reimbursed for **official expenses**, and
 - Supported by **bills and receipts**.

Example

Allowance received = ₹5,000

Actual official expense = ₹4,500

→ **Exempt** = ₹4,500

→ **Taxable** = ₹500

VI. Research Allowance – Section 10(14)

Meaning

Given to employees involved in **research activities** (e.g., professors, scientists).

Exemption Criteria

- Exempt to the extent used for **research purposes**.

Conditions

- Must be used **exclusively for research**.
- Proper **records and proof** must be maintained.
- Personal use makes it **taxable**.

Example

Allowance received = ₹15,000

Research expense = ₹12,000

→ **Exempt** = ₹12,000

→ **Taxable** = ₹3,000

VII. Gratuity – Section 10(10)

Meaning

Gratuity is a **lump-sum payment** given as a reward for **long service**, payable on retirement, resignation, death, or termination.

Exemption Limits

- **Government Employees:** Fully exempt
- **Non-Government Employees:**
 - Exempt up to **₹20 lakh**
 - Excess amount is **taxable**

Conditions

- Gratuity must be received under the **Payment of Gratuity Act, 1972**.

Example

Gratuity received = ₹25 lakh

→ **Exempt** = ₹20 lakh

→ **Taxable** = ₹5 lakh

VIII. Leave Encashment – Section 10(10AA)

Meaning

Payment received for **unused earned leave** at retirement or termination.

Exemption Limits

- **Government Employees:** Fully exempt
- **Non-Government Employees:**
 - Exempt up to **₹3 lakh**
 - Excess amount is taxable

Conditions

- Applicable only at **retirement or termination**
- Applies only to **earned leave**, not casual leave

Example

Leave encashment received = ₹4 lakh

→ **Exempt** = ₹3 lakh

→ **Taxable** = ₹1 lakh

IX. Voluntary Retirement Scheme (VRS) – Section 10(10C)

Meaning

VRS allows employees to retire voluntarily before the retirement age in return for compensation.

Exemption Limits

- Exempt up to **₹5 lakh**

Conditions

- Employee must have:
 - Completed **10 years of service** OR
 - Attained **40 years of age**
- Exemption allowed **only once**
- No other compensation should have been claimed for the same service period
- Applicable to **both government and non-government employees**

Example

VRS amount received = ₹6 lakh

→ **Exempt** = ₹5 lakh

→ **Taxable** = ₹1 lakh

12. Employee Stock Option Plan (ESOP)

Meaning of ESOP

An **Employee Stock Option Plan (ESOP)** is a benefit provided by an employer to its employees, under which employees are given the **right (not obligation)** to purchase shares of the company at a **predetermined price (exercise price)** after completing a specified **vesting period**.

Key Features of ESOP

- ESOPs are offered as a **part of employee compensation**.
- The company must obtain **approval from shareholders** before issuing ESOPs.
- Shares are usually issued at a **discounted price** compared to market value.
- ESOPs help in **employee retention and motivation**.

Lock-in Period

- ESOPs generally carry a **lock-in period of 3 years**.
- During the lock-in period, the employee **cannot sell or transfer** the shares.
- The lock-in starts from the **date of allotment/exercise** of shares.

Taxation of ESOP (Two Stages)

ESOPs are taxed at **two different points**:

1. Tax at the Time of Exercise (Perquisite Tax)

- When the employee exercises the option, the **difference between**:
 - Fair Market Value (FMV) on the date of exercise, and
 - Exercise price paid by the employee
 is treated as a **perquisite**.
- This perquisite value is **taxable under the head “Income from Salary”**.
- Tax is deducted by the employer as **TDS**.

2. Tax at the Time of Sale (Capital Gains Tax)

When the employee sells the ESOP shares, **capital gains tax** applies.

Capital Gain =

Selling Price – Purchase Price (Exercise Price)

Type of Capital Gains

Short-Term Capital Gains (STCG)

- Applicable if shares are sold **within 36 months** from the **date of exercise**.
- **Tax Rate: 15%**

Long-Term Capital Gains (LTCG)

- Applicable if shares are held for **more than 36 months** from the date of exercise.
- **Tax Rate:**
 - **10%** if gains exceed **₹1,00,000**
 - Gains up to ₹1 lakh are **exempt**

Summary of Tax Rate

Type of Gain	Holding Period	Tax Rate
STCG	Up to 36 months	15%
LTCG	More than 36 months	10% (above ₹1 lakh)

Example

- Exercise price = ₹100 per share
- Selling price = ₹180 per share

Capital Gain = ₹80 per share

- If sold within 36 months → **STCG @ 15%**
- If sold after 36 months → **LTCG @ 10% (if total gain > ₹1 lakh)**

13. SECTION 22 – INCOME FROM HOUSE PROPERTY

Meaning of Section 22

Section 22 deals with the **taxation of income earned from house property**.

Any income derived from a **building or land appurtenant thereto** of which the assessee is the **owner** is chargeable to tax under the head **“Income from House Property.”**

The property may be **self-occupied or let-out**.

Basis of Taxation

- Tax is levied on the **Annual Value** of the property.
- **Ownership**, not actual receipt of rent, is the basis of taxation.

Deductions Allowed – Section 24

Under Section 24, deductions are allowed from the **Annual Value** of the property.

1. Standard Deduction – Section 24(a)

- A flat **30% of the Annual Value** is allowed.

- Allowed for:
 - Repairs
 - Maintenance
 - Collection of rent
- **Actual expenses are irrelevant.**

2. Interest on Home Loan – Section 24(b)

- Deduction for **interest paid on borrowed capital.**
- Maximum limit:
 - **₹2,00,000 for self-occupied property.**
- For let-out property, interest is allowed as per provisions (subject to overall limits).

Computation of Income from House Property

Formula

Income from House Property =

Annual Value

– Municipal/Property Taxes Paid

– Standard Deduction (30% of Annual Value)

– Interest on Home Loan (if applicable)

Illustrative Example

Given Details

- Annual Rent Received: ₹2,00,000
- Municipal Taxes Paid: ₹20,000
- Interest on Home Loan: ₹50,000

Step-by-Step Calculation

1. Annual Value

= ₹2,00,000

2. Less: Municipal Taxes

= ₹2,00,000 – ₹20,000

= ₹1,80,000

3. Less: Standard Deduction (30%)

= 30% of ₹1,80,000 = ₹54,000

= ₹1,80,000 – ₹54,000 = ₹1,26,000

4. Less: Interest on Home Loan

= ₹1,26,000 – ₹50,000

Taxable Income from House Property

→ ₹76,000

Co-Ownership of House Property

- When a property is owned by **two or more co-owners:**

- Each co-owner is taxed **separately**.
- Income and deductions under Section 24 are allowed **in proportion to ownership share**.
- Each co-owner can **individually claim** deductions such as:
 - Standard deduction
 - Interest on home loan

14. SECTION 72A – CARRY FORWARD AND SET-OFF OF LOSSES

Meaning of Section 72A

Section 72A provides **tax relief in cases of corporate restructuring**, particularly **amalgamation (merger)** and **demerger**.

It allows the **accumulated business losses and unabsorbed depreciation** of one company to be **carried forward and set off** by another company after restructuring.

Purpose of Section 72A

- To encourage **revival of sick or loss-making companies**
- To facilitate **corporate restructuring**
- To avoid tax burden during **genuine mergers and demergers**

I. Section 72A in Case of Amalgamation (Merger)

Meaning of Amalgamation

Amalgamation refers to the **merger of two or more companies**, where:

- The **transferor company** transfers its assets and liabilities, and
- The **transferee company** acquires them.

Tax Benefit

- The **accumulated losses and unabsorbed depreciation** of the **transferor company** can be:
 - **Carried forward**, and
 - **Set off** by the **transferee company**.

Conditions for Applicability

The benefit under Section 72A is available only if **all the following conditions are satisfied**:

1. **Government Approval**
 - The amalgamation must be **approved by the Government**.
2. **Transfer of All Assets and Liabilities**
 - All assets and liabilities of the transferor company must be transferred to the transferee company.
3. **Continuation of Business**
 - The transferee company must **continue the business of the transferor company** after amalgamation.
4. **Holding of Voting Power**
 - The transferee company must hold **at least 75% of the voting power** of the transferor company **immediately before amalgamation**.

5. Minimum Period of Business Continuity

- The business of the transferor company must be continued for **at least 5 years** after amalgamation.

II. Section 72A in Case of Demerger

Meaning of Demerger

A demerger is a form of corporate restructuring where:

- A **part of the business** of a company (demerged company) is transferred to another company (resulting company).
- The tax treatment of demerger is governed by:
 - **Section 2(19AA)** (definition of demerger)
 - **Section 72A** (tax benefits)

Tax Benefit in Demerger

- The accumulated losses and unabsorbed depreciation relating to the transferred undertaking:
 - Are **allowed to be carried forward and set off** by the **resulting company**.

Conditions for a Valid Demerger

1. Transfer of Assets and Liabilities

- A **part of the business**, along with its assets and liabilities, must be transferred to the resulting company.

2. Shareholders' Entitlement

- Shareholders of the demerged company must be issued **shares in the resulting company**.
- Shares must be issued **in proportion to their existing shareholding**.

3. Business Continuity

- The demerged company must **continue to exist**.
- The resulting company must **continue the transferred business**.

4. No Sale or Transfer of Shares

- The demerger should **not involve sale of shares**.
- Shareholders receive shares in the resulting company **in exchange for the transferred business**.

5. Accounting Treatment

- The transfer of assets and liabilities must be recorded as per the **Companies Act, 2013**.

6. Continuity of Business

- The business transferred must be **continued by the resulting company**.

20. SECTION 32 – DEPRECIATION

Meaning of Depreciation

Depreciation refers to the **reduction in the value of an asset over time** due to:

- Wear and tear
- Regular usage
- Passage of time
- Obsolescence

Under **Section 32**, depreciation is allowed as a **deduction from taxable business or professional income**, provided certain conditions are satisfied.

Purpose of Allowing Depreciation

- To reflect the **true value of assets**
- To account for **loss in efficiency**
- To reduce **taxable income of businesses**
- To encourage **capital investment**

Methods of Depreciation

I. Straight Line Method (SLM)

Meaning

Under the Straight Line Method, depreciation is charged at a **fixed rate on the original cost** of the asset every year.

Key Features

- Same amount of depreciation every year
- Simple and easy to calculate
- Asset value reduces uniformly

Formula

$$\text{Depreciation} = \text{Original Cost} \times \text{Depreciation Rate}$$

Example

- Cost of machine = ₹1,00,000
- Rate of depreciation = 10%

→ **Annual Depreciation = ₹10,000 every year**

II. Written Down Value Method (WDV) / Reducing Balance Method

Meaning

Under the WDV method, depreciation is calculated on the **book value** of the asset, i.e., **original cost minus depreciation already charged**.

Key Features

- Depreciation amount **reduces every year**
- More realistic for assets that lose value faster in initial years
- Commonly used under the Income Tax Act

Rates of Depreciation (WDV Method)

Asset Type	Rate
Residential Building	5%
Plant & Machinery	15%
Building (other than residential)	10%
Intangible Assets	25%

Formula

$$\text{Depreciation} = \text{Book Value} \times \text{Depreciation Rate}$$

Example

- Cost of machine = ₹1,00,000
- Rate = 10%

Year 1:

- Depreciation = 10% of ₹1,00,000 = ₹10,000
- Book Value = ₹90,000

Year 2:

- Depreciation = 10% of ₹90,000 = ₹9,000
- Book Value = ₹81,000

→ Depreciation **decreases every year**

Conditions for Claiming Depreciation (Section 32)

1. Ownership of Asset

- The assessee must be the **legal owner** of the asset.
- Ownership may be **full or partial**.

2. Eligible Assets

Depreciation is allowed only on:

- **Tangible Assets:**
 - Buildings
 - Plant
 - Machinery
 - Furniture
- **Intangible Assets:**
 - Patents
 - Trademarks
 - Copyrights
 - Licenses

- Know-how

❌ **Land is not depreciable** because its value does not normally diminish over time.

3. Use for Business or Profession

- The asset must be **used for business or professional purposes**.
- Personal-use assets are **not eligible**.

4. Date of Purchase and Use

- Depreciation is allowed **only from the date the asset is purchased and put to use**.
- Mere purchase without usage does **not qualify**.

Important Exam Points

- Depreciation is a **statutory deduction**, not optional.
- Allowed only under “**Profits and Gains of Business or Profession**”.
- WDV method is **most commonly used** under the Income Tax Act.
- Intangible assets are also eligible under Section 32.

Significance of Section 32 (Depreciation)

1. Tax Deduction

Section 32 allows depreciation as a **deduction from business income**, which reduces the **taxable profits** of an assessee.

By lowering taxable income, it **reduces the overall tax liability** of businesses.

2. Capital Cost Recovery

Depreciation enables businesses to **recover the cost of capital assets gradually** over their useful life.

Instead of claiming the full cost at once, the expense is **spread over several years**, matching cost with usage.

3. Asset Management and Modernisation

The provision encourages businesses to **invest in new assets** and **replace obsolete or inefficient assets**.

This promotes **better asset management**, improved productivity, and technological upgradation.

21. Section 37 – General Business Expenses

Meaning

Section 37 allows deduction of **any expenditure incurred wholly and exclusively for the purpose of business or profession**, provided it is **not covered under Sections 30 to 36**.

Expenses Allowed under Section 37

- Rent paid for business premises

- Salaries and wages to employees
- Legal and professional fees
- Office expenses
- Advertising and marketing expenses

Expenses NOT Allowed

- **Personal expenses**
- **Capital expenditure** (e.g., purchase of machinery)
- Expenses incurred for **illegal or prohibited activities**

Key Condition

✓ Expense must be **wholly and exclusively for business purposes**

Lease Concepts

1. Lessee

- The person or business **renting the asset**
- Pays **lease rent** to the owner
- **Tax Treatment:**
 - Lease rent paid is allowed as a **deduction** under the Income-tax Act

2. Lessor

- The person or business **owning the asset**
- Receives lease rent
- **Tax Treatment:**
 - Can claim **depreciation** on the leased asset
 - Lease rent received is treated as **income**

Types of Leasing

1. Front-End Leasing

- **Higher lease payments** in the **initial years**
- Payments reduce in later years

Suitable For

- Businesses with **strong initial cash flows**
- Firms expecting **lower income in future**

2. Back-End Leasing

- **Lower lease payments initially**
- Payments **increase over time**

Suitable For

- Businesses expecting **growth in revenue**

- Start-ups or expanding firms

3. Balloon Leasing

- **Uneven lease payments**
- A **large final payment** called the **balloon payment**

Commonly Used For

- Vehicles
- Heavy machinery
- High-value equipment

MAT – Minimum Alternate Tax

Meaning

MAT is levied to ensure that companies **pay a minimum amount of tax**, even if they reduce taxable income using exemptions and deductions.

Key Features

- Governed by **Section 115JB**
- Applicable to **companies**
- Tax is calculated on **book profits**, not taxable income

Purpose of MAT

- Prevents **zero-tax companies**
- Ensures **fair contribution to government revenue**

Unabsorbed Depreciation

Meaning

When depreciation **cannot be fully adjusted** against profits in a year, the remaining amount is called **unabsorbed depreciation**.

Treatment

- Can be **carried forward to future years**
- Can be adjusted against **any head of income** (except salary)
- No strict time limit (as per current provisions)

Business Loss – Carry Forward

Meaning

Loss incurred from business operations during a financial year.

Carry Forward Rules

- Can be carried forward for **8 assessment years**
- Can be set off **only against business income**
- Filing of return must be **within due date**

Depreciable Value of a Machine

Meaning

The depreciable value is the **total cost incurred to bring the asset into working condition**, not just the purchase price.

Includes

- Purchase cost
- Customs duty
- Freight and transportation charges
- Installation and erection expenses
- Any other cost necessary to make the asset operational

22. Section 35AB – Expenditure on Acquiring Know-How / Scientific Rights

Meaning of Section 35AB

- Section 35AB deals with **capital expenditure** incurred by an assessee for **acquiring rights to use scientific research or technical know-how**.
- Such know-how may include:
 - Patents
 - Technical processes
 - Designs
 - Technology transfer rights
- The section applies mainly to **businesses and companies** using such know-how for business purposes.

👉 Since this expenditure is **capital in nature**, it is **not allowed as a full deduction in one year**, but spread over time.

Amortisation Period

- The total capital expenditure incurred is **amortised over 6 years**.
- Deduction is allowed in **equal installments**.
- Each year's deduction = **1/6th of the total expenditure**.
- Deduction starts from the **previous year in which the expenditure is incurred**.

Amount of Deduction

- Deduction allowed every year = **1/6th of capital expenditure**
- Allowed for **six consecutive assessment years**
- Even if the know-how is used throughout, the deduction period **cannot exceed 6 years**

Example

- A company acquires a **technology patent** for ₹6,00,000.
- This expenditure is capital in nature.
- Deduction under Section 35AB:

Year Deduction Allowed

Year 1 ₹1,00,000

Year 2 ₹1,00,000

Year 3 ₹1,00,000

Year 4 ₹1,00,000

Year 5 ₹1,00,000

Year 6 ₹1,00,000

👉 Total deduction over 6 years = ₹6,00,000

23. Double Tax Avoidance Agreement (DTAA)

Meaning of DTAA

A **Double Tax Avoidance Agreement (DTAA)** is a **bilateral agreement between two countries** to ensure that **the same income is not taxed twice**—once in the source country and again in the resident country.

DTAA applies to:

- Individuals
- Companies
- Firms
- Other taxable entities

👉 Objective:

- Avoid double taxation
- Promote cross-border trade & investment
- Provide tax certainty to taxpayers

Methods of Relief under DTAA

DTAA provides relief from double taxation using the following methods:

1. Exemption Method

- Income is taxed in **only one country**
- The other country exempts such income

2. Tax Credit Method

- Income taxed in both countries
- Tax paid in foreign country is **allowed as credit** in resident country

3. Deduction Method

- Foreign tax paid is deducted as an expense (least preferred)

Indo–Mauritius DTAA

The **DTAA between India and Mauritius** is one of the most well-known tax treaties.

Key Benefit

- **Capital gains on sale of Indian shares/securities** by a Mauritius resident were **taxable only in Mauritius**
- Since Mauritius does not levy capital gains tax, such gains became **effectively tax-free**

👉 This made Mauritius a **preferred route for Foreign Direct Investment (FDI)** into India.

Example (Indo–Mauritius DTAA)

- A Mauritius-based company purchases shares of an Indian company
- Later sells shares at a profit
- Under DTAA:
 - Capital gains are **taxable only in Mauritius**
 - **No capital gains tax in India**

Amendments to Indo–Mauritius DTAA

India later amended the treaty to **prevent misuse and treaty shopping**.

Key Change

- Capital gains on shares may now be **taxable in India** depending on:
 - Date of acquisition
 - Nature of transaction
 - Compliance with anti-abuse provisions

👉 **Purpose:** Stop shell companies and tax avoidance.

Conditions to Claim DTAA Benefits

To claim DTAA benefits, the taxpayer must satisfy **residential and economic connection tests**:

1. Permanent Place of Abode

- Person must have a **permanent residence** in the treaty country
- Indicates long-term stay and stability

2. Tax Residency

- Individual or company must be treated as a **tax resident** of the DTAA country
- Generally means:
 - Liable to tax on **global income**, not just local income

3. Centre of Vital Interests

- Determines **primary country of economic and personal ties**
- Based on:
 - Family location
 - Business operations
 - Employment
 - Investments

👉 Used when a person qualifies as resident of **two countries**

Foreign Tax Credit (FTC)

When income is taxed in **both India and foreign country**, DTAA allows **foreign tax credit**.

Meaning

- Tax paid in foreign country is **adjusted against Indian tax liability**
- Prevents double taxation

Example

- Indian resident earns income abroad
- Pays tax in foreign country
- Same income taxable in India
- Foreign tax paid is **credited against Indian tax**

Permanent Establishment (PE) – DTAA Concept

Meaning of Permanent Establishment (PE)

A **Permanent Establishment (PE)** means a **fixed place of business** through which business is carried on in another country.

Examples of PE:

- Branch office
- Factory
- Office
- Workshop
- Place of management

👉 If PE exists, income attributable to PE is taxable in source country.

PE and Taxation in India

According to DTAA principles:

- If a foreign company has a **PE in India**, then:
 - Income arising through that PE is **taxable in India**

Example – UAE Company Case

A company based in United Arab Emirates earns income connected to India.

Case 1: Independent Agent (No PE)

- UAE company uses an **independent agent in India**
- Agent works in ordinary course of business
- No control by UAE company

✅ **No Permanent Establishment**

✅ Income **not taxable in India**

Case 2: Fixed Place of Business (PE Exists)

- UAE company opens a **branch office in India**
- Office undertakes business decisions or revenue activities

- ✗ **Permanent Establishment exists**
- ✗ Income attributable to PE **taxable in India**

Communication / Liaison Office

- If Indian office only:
 - Transmits information
 - Acts as communication channel
 - Does not generate revenue

👉 Such office **does not create PE**

Commission Income Example

- UAE company earns commission from remittances (Gulf → India)
- Core services performed in UAE
- Indian office only facilitates communication

✅ Income **not taxable in India**

✗ No PE in India

24. Capital Gains & Section 45 (Income Tax Act, 1961)

Meaning of Capital Gains

- **Capital Gains** arise when a **capital asset** is transferred.
- Capital gain = **Sale consideration – Cost of acquisition – Expenses of transfer**
- If sale value is **more than cost** → Capital Gain
- If sale value is **less than cost** → Capital Loss

Section 45 – Chargeability of Capital Gains

- Section 45 provides that **any profits or gains arising from the transfer of a capital asset** shall be **chargeable to tax under the head “Capital Gains”**.
- Capital gains are **taxable in the year in which the transfer takes place**.

Meaning of Transfer

Transfer includes:

- Sale
- Exchange
- Gift
- Relinquishment
- Compulsory acquisition
- Any transaction enabling enjoyment of asset

When is Capital Gains Tax Applicable?

- Capital gains tax applies when:
 - A **capital asset is transferred**
 - The transfer takes place during a previous year
- In case of **immovable property**, the **date of registration** is considered the date of transfer.

Example

- Property sold and registered in **2024**
- Capital gains taxable in **FY 2024–25 (AY 2025–26)**

Capital Loss and Carry Forward

Capital Loss

- When **sale price < purchase price**
- Results in **capital loss**

Carry Forward of Capital Loss

- Capital losses can be:
 - Carried forward for **8 assessment years**
 - Set off only against **capital gains**
- Loss must be declared in return filed **on or before due date**

Example

- Capital loss in 2024 = ₹50,000
- Can be adjusted against capital gains earned till **2032**

Capital Assets Covered under Capital Gains

Capital assets include:

- Land and buildings
- Shares and securities
- Mutual fund units
- Bonds and debentures

Assets NOT Treated as Capital Assets (Section 2(14))

- Stock-in-trade
- Raw materials
- Consumable stores
- Personal effects (with exceptions)

👉 Income from sale of these is taxed as **business income**, not capital gains.

Short-Term & Long-Term Capital Gains

Short-Term Capital Gains (STCG)

- Asset held for:
 - **Less than 36 months** (general)
 - **Less than 24 months** (immovable property)
 - **Less than 12 months** (listed equity shares)
- Tax rate:
 - Equity shares (STT paid) → **15%**
 - Others → Normal slab rates

Long-Term Capital Gains (LTCG)

- Asset held for:
 - **More than 36 months**
 - **More than 24 months** (immovable property)
 - **More than 12 months** (listed equity shares)
- Tax rate:
 - Equity shares → **10% above ₹1 lakh**
 - Other assets → 20% with indexation

Exemption on Agricultural Land – Section 10(37)

Exempt Agricultural Land

- Located **more than 8 km** away from:
 - Municipality
 - City or town

Taxable Agricultural Land

- Located **within 8 km** of city/town
- Notified for urban development

Examples

- Rural agricultural land → **No capital gains tax**
- Urban agricultural land → **Capital gains tax applies**

Investment Company – Portfolio Classification

1. Investment Portfolio

- Assets held for **long-term appreciation**
- Sale profits taxed as **capital gains**

2. Trading Portfolio

- Assets held for **frequent trading**
- Sale profits taxed as **business income**

👉 Nature depends on **intention, frequency, and accounting treatment**

Important Related Sections

Section 2(14) – Capital Asset

- Defines capital asset as **any property**
- Excludes stock-in-trade, raw materials, consumables

Section 2(42A) – Holding Period

- Determines whether gain is **short-term or long-term**

Section 45(2) / 2(47) – Conversion Rules

- Conversion of **stock-in-trade into capital asset**
- **FMV on conversion date** becomes cost for future capital gains

Section 47 – Transfers Not Regarded as Transfer

Capital gains **not applicable** for:

- Gifts and inheritance
- Transfer between partners and firm (specified cases)
- Certain amalgamations and demergers
- Agricultural land transfers (conditions apply)

25. Section 2(47) – Definition of “Transfer”

Importance of Section 2(47)

- The term **“transfer”** is crucial because **capital gains tax under Section 45 arises only when there is a transfer** of a capital asset.
- If a transaction does **not fall within the meaning of transfer**, **capital gains tax will not apply**, even if money is received.

Definition of Transfer – Section 2(47)

Section 2(47) defines transfer in a **very wide manner**. It includes not only sale, but many other ways in which ownership or rights in an asset are given up.

Transactions Covered under Section 2(47)

1. Sale, Exchange, or Relinquishment of Asset

- **Sale:** Selling a capital asset for consideration.
- **Exchange:** Swapping one asset for another.
- **Relinquishment:** Giving up rights in an asset voluntarily.

Example:

- Selling a house → Transfer
- Exchanging land for another plot → Transfer
- Giving up ownership rights in a property → Transfer

2. Parting with Possession of the Asset

- Transfer includes **giving possession of the asset**, even if **legal ownership is not formally transferred**.
- Common in cases of **lease agreements** or **development agreements**.

Example:

- Giving possession of land to a builder under an agreement → Transfer (even if registration is pending)

3. Distribution of Assets on Dissolution of Partnership

- When a partnership firm is dissolved and **assets are distributed among partners**, it is treated as a transfer.
- Capital gains may arise in the hands of the firm.

Example:

- Firm dissolves and land is given to partners → Transfer

4. Extinguishment or Termination of Rights in a Capital Asset

- If any **right in a capital asset is extinguished or terminated**, it amounts to transfer.
- Includes surrender or cancellation of rights.

Example:

- Surrender of tenancy rights
- Cancellation of rights in a property

5. Gift or Inheritance

- **Gift or inheritance is treated as a transfer** under Section 2(47).
- However, **capital gains tax is not charged immediately** due to exemptions under Section 47.
- The **cost of acquisition** for the new owner is taken as the **cost to the previous owner**.

Example:

- Property gifted by father to son → Transfer
- Capital gains not taxed at the time of gift
- Tax applies when son later sells the property

Summary of Key Points – Section 2(47)

- Transfer has a **wide meaning**
- Includes:
 - Sale
 - Exchange
 - Relinquishment
 - Parting with possession
 - Dissolution of firm
 - Termination of rights
 - Gift and inheritance
- Focus is on **giving up rights**, not only on registration

Why Section 2(47) is Important?

- Capital gains tax under **Section 45 is triggered only when a transfer occurs**.
- Helps prevent tax avoidance through indirect transfers.
- Ensures taxation even when **ownership changes without formal sale**.

26. Section 2(14) – Capital Asset

Meaning of Capital Asset

As per **Section 2(14)**, a **capital asset** means **property of any kind**, whether:

- **Movable or immovable**
- **Tangible or intangible**

It includes assets held by an assessee, whether connected with business or not, **unless specifically excluded** by the Act.

Assets NOT Treated as Capital Assets

The following items are **excluded** from the definition of a capital asset:

1. Stock-in-Trade

- Goods or inventory held for **business or trading purposes**.
- Example: Goods held by a trader for resale.

→ **Reason:** These generate **business income**, not capital gains.

2. Personal Effects

- Items held for **personal use** such as:
 - Clothing
 - Household furniture
 - Personal appliances

Exceptions (Treated as Capital Assets)

Even if held for personal use, the following ARE capital assets:

- Jewellery
- Paintings
- Sculptures
- Any other works of art

→ Gains from their sale are taxable as **capital gains**.

3. Agricultural Land in Rural India

Agricultural land is **not a capital asset** if it is situated in a **rural area**.

Meaning of Rural Area

An area which:

- Is **outside the limits of a municipality or cantonment board** having a population of **10,000 or more**, and
- Is **not within 8 kilometres** of the local limits of such municipality or cantonment board.

→ **Agricultural land in rural areas is fully excluded from capital gains tax.**

4. Indian Currency (Rupees)

- Indian currency (legal tender) is **not treated as a capital asset**.
- Example: Holding cash does not give rise to capital gains.

5. Gold Bonds Issued under the Gold Bonds Act, 1965

- Such gold bonds are **specifically excluded**.
- Note: The Gold Bonds Act, 1965 has been **repealed**, but the exclusion remains relevant for exam purposes.

6. Other Excluded Assets

- Any asset **specifically excluded** under other provisions of the Income Tax Act.

27. Taxation of Different Entities under the Income Tax Act, 1961

The Income Tax Act, 1961 classifies taxpayers into different **entities**, and each entity is taxed according to its **legal structure, nature of income, and applicable tax rates**. The major entities include **Individuals, HUFs, Partnership Firms, Companies, AOPs, and Artificial Juridical Persons**.

1. Individual – Normal Tax Rates

Meaning

An **individual** refers to a natural person earning income in his/her personal capacity. Individuals are taxed under **progressive slab rates**, meaning higher income attracts higher tax rates.

Income Tax Slabs (AY 2024–25 | Below 60 years)

Income Slab	Tax Rate
Up to ₹2.5 lakh	Nil
₹2.5 lakh – ₹5 lakh	5%
₹5 lakh – ₹10 lakh	20%
Above ₹10 lakh	30%

Key Points

- Tax increases as income increases (progressive system).
- Eligible for deductions under **Chapter VI-A** (80C, 80D, etc.).
- Rebate under Section 87A may apply for lower incomes.

2. Hindu Undivided Family (HUF)

Meaning

A **Hindu Undivided Family (HUF)** is treated as a **separate taxable entity** under the Income Tax Act. It consists of members descended from a common ancestor.

Tax Treatment

- HUF has its **own PAN** and files a **separate return**.
- Taxed at the **same slab rates as an individual**.
- Income earned by the HUF is taxed **in the hands of the HUF**, not individual members.

Important Points

- Members receiving their share of income are **not taxed separately**.
- HUF can claim deductions and exemptions like an individual.

Example

If an HUF earns **₹8 lakh**, tax is calculated as per **individual slabs**, and deductions are allowed.

3. Partnership Firm

Meaning

A partnership firm is a business entity formed by partners to earn profits jointly.

Tax Treatment

- Taxed as a **separate entity**.
- **Flat tax rate of 30%** on total income.

Key Features

- No basic exemption limit.
- Profit share received by partners is **exempt in partners' hands**.
- Salary, bonus, or interest paid to partners is taxable in partners' hands.

Example

If a firm earns **₹10 lakh**:

- Tax = 30% of ₹10 lakh = **₹3 lakh**
- Partner's share of profit is **not taxable again**.

4. Company

Companies are taxed based on whether they are **domestic or foreign**.

A. Domestic Company

A company incorporated in India.

Tax Rates

- **25%** → If turnover/gross receipts ≤ ₹400 crore
- **30%** → If turnover > ₹400 crore

B. Foreign Company

A company incorporated outside India but earning income in India.

Tax Rate

- **40% flat rate** on income earned in India

Example

- Domestic company income = ₹20 crore → Tax @ 30%
- Foreign company income in India = ₹20 crore → Tax @ 40%

5. Association of Persons (AOP)

Meaning

An **Association of Persons (AOP)** is a group of persons who join together to earn income with a common objective.

Tax Treatment

- AOP is treated as a **separate taxable entity**.
- Taxed at **individual slab rates**, unless otherwise specified.
- Members are taxed only **after AOP pays tax**, if applicable.

Example

If an AOP earns **₹10 lakh**, tax is calculated using **individual tax slabs**.

6. Artificial Juridical Entity (Religious / Charitable Institutions)

Meaning

An **Artificial Juridical Person** is an entity created by law, without physical existence, but treated as a legal person.

Examples include **temples, trusts, deities, and charitable institutions**.

Taxation of Religious & Charitable Institutions

- Income from **donations, offerings, and religious activities** may be **exempt under Section 11**, subject to conditions.
- Income from **investments, rent, or business activities** may be **taxable** if:
 - Not applied for charitable or religious purposes.

Example

If a temple earns:

- Donations → Generally exempt
- Rental income from property → Taxable unless used for religious purposes

Entity Type	Tax Rate	Other Notes
Individual	Progressive tax slabs (5% to 30%)	Based on income levels, with exemptions and deductions
Hindu Undivided Family (HUF)	Same as individual tax slabs	HUF is a separate tax entity, and profits are taxed under HUF
Partnership Firm	30% (flat rate)	Share of profit to partners is not taxable in their hands
Domestic Company	25% or 30% (depending on turnover)	Tax rate varies based on turnover
Foreign Company	40% (flat rate)	Tax on income earned in India
Association of Persons (AOP)	Same as individual tax slabs	Treated as a separate entity, taxed on its income
Religious Institutions (e.g., Temples)	Taxable if income is from investments or business activities	Income used for charitable purposes may be exempt

28. PRESUMPTIVE TAXATION (Income-tax Act, 1961)

1. Meaning of Presumptive Taxation

Presumptive taxation is a scheme where **income is presumed at a fixed rate** instead of calculating actual profits.

The objective is to:

- Reduce compliance burden
- Avoid detailed bookkeeping
- Provide simplicity to small taxpayers

Under this scheme:

- Income is calculated as a **percentage of turnover / receipts**, or
- A **fixed amount** per asset (e.g., vehicle)

2. Section-wise Explanation

Section 44AD – Presumptive Tax for Small Businesses

(A) Eligibility

✓ Resident:

- Individual
- HUF
- Partnership Firm (excluding LLPs)

✓ Engaged in **eligible business** (any business except:

- Profession
- Agency business
- Commission or brokerage)

✗ Not applicable to:

- LLPs
- Non-residents
- Professionals (covered under 44ADA)

(B) Turnover Limit

- **₹2 crore** normally
- **₹3 crore** if:
 - Cash receipts $\leq$ 5% of total receipts
 - Cash payments $\leq$ 5% of total payments

👉 This condition promotes **digital transactions**

(C) Presumptive Income Rate

Mode of Receipt Presumptive Income

Cash receipts **8% of turnover**

Digital receipts **6% of turnover**

(D) Books of Accounts & Audit

- **No books and no audit required**, if income declared $\geq$ presumptive rate
- **Books + audit required** if:
 - Declaring lower income AND
 - Total income exceeds basic exemption limit

(E) Important Missing Points (Very Important)

- ♦ **Once opted out**, the assessee:
 - Cannot opt back into 44AD for **next 5 assessment years**
 - Section **44AD(4)** restriction
- ♦ **Deductions under Sections 30–38:**
 - Already considered
 - No separate deduction allowed (e.g., rent, depreciation)
- ♦ **Depreciation:**
 - Considered as allowed, but **W.D.V. is reduced**

◆ **Partner's remuneration & interest:**

- Allowed **subject to limits of Section 40(b)**

Section 44ADA – Presumptive Tax for Professionals

(A) Eligibility

✓ Resident individuals or partnership firms

✓ Professionals specified under **Section 44AA**

Specified Professions:

- Legal
- Medical
- Engineering
- Architectural
- Accountancy
- Technical consultancy
- Interior decoration
- Any notified profession

(B) Gross Receipts Limit

- ₹50 lakh

(C) Presumptive Income

- **50% of gross receipts**

(D) Books & Audit

- No books or audit if income declared at 50%
- Books + audit required if:
 - Declaring lower income AND
 - Income exceeds basic exemption limit

(E) Missing Points

- ◆ No separate deduction for expenses
- ◆ Depreciation deemed allowed
- ◆ Applicable only to **residents**

x

Section 44AE – Transport Business

(A) Eligibility

✓ Assessee's owning **not more than 10 goods vehicles** at any time

(B) Presumptive Income

Vehicle Type	Presumptive Income
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Heavy Goods Vehicle	₹1,000 per ton of GVW per month
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Vehicle Type	Presumptive Income
Other vehicles	₹7,500 per vehicle per month

(C) Books & Audit

- No books or audit required

(D) Missing Points

- ◆ Applies even if vehicle is owned for **part of the month**
- ◆ Depreciation deemed allowed

Section 44B – Non-Resident Shipping Business

Applicability

- Non-residents engaged in shipping business

Presumptive Income

- **7.5% of gross receipts**

Books & Audit

- Not required

Section 44BB – Services for Oil & Mineral Exploration

Applicability

- Non-residents providing services/facilities for:
 - Prospecting
 - Extraction
 - Production of mineral oils

Presumptive Income

- **10% of gross receipts**

x

Section 44BBA – Aircraft Operation (Non-Residents)

Applicability

- Non-residents operating aircraft

Presumptive Income

- **5% of gross receipts**

Section 44BBB – Foreign Companies (Power Projects)

Applicability

- Foreign companies engaged in power projects in India

Presumptive Income

- **10% of gross receipts**

3. Common Provisions (Often Missed in Exams)

(A) Advance Tax

- Pay **100% advance tax by 15th March**

- No installment system

(B) Chapter VI-A Deductions

✓ Allowed (80C, 80D, etc.)

✗ Business deductions NOT allowed separately

(C) Basic Exemption Limit

- Presumptive income is added to other income
- Taxability depends on total income slab

Section 44BBC – Presumptive Taxation for Cruise Ship Business

(Introduced to promote cruise tourism in India)

1. What is Section 44BBC?

Section 44BBC provides a **presumptive taxation scheme** for **non-resident assessee**s engaged in the **business of operating cruise ships** in India.

Instead of computing actual profits, income is **presumed at a fixed percentage of receipts**, simplifying compliance.

2. Who is Eligible?

✓ **Non-resident assessee**

✓ Engaged in the **business of operation of cruise ships**

✓ Cruise ship must be **eligible** and operated under a **notified scheme** of the Central Government

✗ Not applicable to:

- Residents
- Businesses other than cruise ship operations
- Cruise ships not complying with notified conditions